NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 21.04.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.136/230/AMR/ 2019	IA(Companies Act)/8/2022	5 of Limitation Act	SAPA BS India Pvt Limited (Transferor Co.-1) SAPA Building System Pvt Limited (Transferor Co.-2) SAPA Precision Tubing Pune Pvt. Ltd. (Transferor Co.3) SAPA Extrusion India Pvt. Ltd. (Transferee Co)

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

IA(Companies Act)/8/2022 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT HYDERABAD
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IA No.8/2022
In
CP (CAA) No. 136/230/AMR/2019

Under Section 5 of the Limitation Act, 1963 Read with Rule 153 of the National Company Law Tribunal Rules, 2016

In the matter of
M/s. SAPA EXTRUSION INDIA PRIVATE LIMITED

BETWEEN:

SAPA Extrusion India Private Limited,
Having its registered office at
No.255, 279, 257, Industrial Park,
Block-C, Kuppam – 517425,
Chittoor District, Andhra Pradesh.

...Applicant

Date of Order: 21.04.2022

CORAM:

Justice Telaprolu Rajani, Member Judicial.

Appearance:

For Applicant : Mr. Rubaina S. Khatoon, Advocate.

ORDER

1. This Application is filed seeking for extension time by 60 days, to comply with the orders dated 25.09.2019 and 20.07.2020 and to condone the delay of 451 days in complying with the said orders.

2. The grounds on which the said reliefs are sought for are as follows:

a) By virtue of the order dated 25.09.2019, this Tribunal sanctioned the Scheme of Amalgamation between the Petitioner Companies and directed them to complete the post-merger activities including the increase of the authorised share capital of the Applicant by adding the authorised share capital of the Transferor Companies, issuing the newspaper publication with respect to approval of the scheme of amalgamation and submit the said scheme to the Registrar of Companies (RoC) within 30 days from the date of receipt of the certified copy of the order, after paying the stamp duty and comply with other statutory steps. The Applicant was unable to complete the post-merger activities within the period specified in the order and filed an application in IA No.65/2020 seeking extension of time. This Tribunal extended time by one month, starting from 21.07.2020, but the Applicant could not comply with the post-merger activities. Hence, this application, seeking for condonation of delay in complying with the directions.

b) The Applicant was required to pay requisite stamp duty under Indian Stamp Act. The delay is neither intentional nor due to the negligence on the part of the Applicant. But has been caused due to the following reasons:

i. The Applicant received the certified copy of the 2020 order only on 24.11.2020 due to the pandemic of Covid-19;

ii. within one month of receipt of the said order, the Applicant applied to the Sub-Registrar, Kupam along with the demand draft of Rs.50,26,800/- for payment of stamp duty;

iii. after few days, the Sub-Registrar, Kupam returned the demand draft and the Applicant was constrained to address a letter to the Registrar and Collector, for payment of stamp duty which was only received by the Registrar on 04.02.2021;

iv. the Registrar failed to consider the order of the Supreme Court directing to relax the period of limitation for the relevant period and directing the Applicant to pay stamp duty along with the penalty under Section 40 of the Indian Stamp Act, amounting to Rs.1,50,80,394/-.

c) The Sub-Registrar, Kupam directed the Applicant to approach the Registrar directly for the stamp duty payment. On 19.01.2021, the Applicant addressed a letter to the Registrar reiterating its request to accept the payment of stamp duty. The Registrar directed the Applicant on 04.02.2021, to produce

certain documents, including the original order dated 25.09.2019, for the purpose of impounding etc. The Applicant addressed two emails to the Registrar on 19.02.2021, providing the details as requested and the Board Resolution and order dated 20.07.2020. On 25.02.2021, the Registrar, through his letter, stated that order dated 20.07.2020 is only in relation to the filing of Form INC-28 and therefore 2019 order is to be reckoned. The Registrar requested for the original of 2019 Order which was complied with. The Applicant requested to issue the necessary challan and accept the payment towards stamp duty. Thereafter, on 16.03.2021 the Applicant addressed another letter to the Registrar, requesting the Registrar to accept the certified copy of the order dated 25.09.2019, since original was never received by them. The Registrar addressed a letter on 16.03.2021, directing the Applicant to submit certified copy of the order dated 25.09.2019, notarized affidavit, stating the number of shares transferred and their value as on the date of issuance of order date 25.09.2019 and affidavits of the auditors and authorised signatory of the Applicant. On 29.06.2021, the Applicant replied to the Registrar's letter dated 16.03.2021 informing that he could not reply earlier since the plant was shut down from 10.05.2021 to 13.06.2021 on account of Covid-19 pandemic. The Applicant submitted all the documents as required by the Registrar. Another letter was issued by the

Applicant on 08.07.2021 in the form of a reminder. On 12.07.2021 the Registrar issued a notice to the Applicant, stating that under Section 40 of the Indian Stamp Act, penalty was levied and directed the authorised representative of the Applicant to either appear in person or through a counsel, within 15 days. The Applicant issued a letter in reply to the notice received on 26.07.2021, stating that the Applicant has no objection towards payment of stamp duty and stating that levy of penalty has no application in the present case and the stamp duty should be determined under Section 31 of the Indian Stamp Act and also informed that upon receipt of the final order, full payment wold be made. An Application was filed before the Registrar on 25.01.2022, explaining the reasons for the delay in paying the stamp duty. Subsequent to filing of the Petition, the Registrar passed an order directing to pay penalty. The Applicant was not able to comply with the directions within one month and applied to the Sub-Registrar, Kupam for payment of stamp duty. Hence, the orders dated 25.09.2019 and 20.07.2020 could not be complied with due to the above reasons and is not at all wilful.

3. Heard the Counsel for the Applicant. The Applicant's Counsel put forth the reasons for not being able to comply with the orders which were stated in the application and contended that there is no wilful default on the part of the Applicant in not complying with the

orders dated 25.09.2019 and 20.07.2020. From the events narrated by the Applicant it can be understood that the Applicant was prevented from complying with the order by valid reasons which are not within his control and hence, I am inclined to allow the Application and grant the reliefs as sought for.

4. In the result, the Application is allowed delay of 451 days is condoned and time for complying with the order extended by 60 days starting from 21.04.2022 and ending by 19.06.2022.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu